

Basel III Pillar 3 Disclosures

30 June 2024

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Part 2 – Overview of Risk Management and RWA

KM1 – Key metrics (at consolidated group level)

SAR '000		Q2 2024	Q1 2024	Q4 2023	Q3 2023	Q2 2023
	Available capital (amounts)					
1	Common Equity Tier 1 (CET1)	125,291,217	125,822,867	121,992,919	114,407,893	116,134,516
1a	Fully loaded ECL accounting model CET1	124,853,860	125,385,510	121,118,205	113,533,179	115,259,802
2	Tier 1	139,702,217	140,243,558	136,385,218	128,797,322	130,417,746
2a	Fully loaded ECL accounting model Tier 1	139,264,860	139,806,201	135,510,504	127,922,608	129,543,032
3	Total capital	146,152,310	146,618,995	141,736,958	133,913,433	135,423,316
3a	Fully loaded ECL accounting model total capital	145,714,953	146,181,638	140,862,244	133,038,719	134,548,602
	Risk-weighted assets (amounts)					
4	Total risk-weighted assets (RWA)	756,197,588	731,638,965	703,856,085	699,635,338	684,261,057
4a	Total risk-weighted assets (pre-floor)	756,197,588	731,638,965	703,856,085	699,635,338	684,261,057
	Risk-based capital ratios as a percentage of RWA					
5	CET1 ratio (%)	16.57%	17.20%	17.33%	16.35%	16.97%
5a	Fully loaded ECL accounting model CET1 (%)	16.51%	17.14%	17.21%	16.23%	16.84%
5b	CET1 ratio (%) (pre-floor ratio)	16.57%	17.20%	17.33%	16.35%	16.97%
6	Tier 1 ratio (%)	18.47%	19.17%	19.38%	18.41%	19.06%
6a	Fully loaded ECL accounting model Tier 1 ratio (%)	18.42%	19.11%	19.25%	18.28%	18.93%
6b	Tier 1 ratio (%) (pre-floor ratio)	18.47%	19.17%	19.38%	18.41%	19.06%
7	Total capital ratio (%)	19.33%	20.04%	20.14%	19.14%	19.79%
7a	Fully loaded ECL accounting model total capital ratio (%)	19.27%	19.98%	20.01%	19.02%	19.66%
7b	Total capital ratio (%) (pre-floor ratio)	19.33%	20.04%	20.14%	19.14%	19.79%
	Additional CET1 buffer requirements as a percentage of RWA					
8	Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9	Countercyclical buffer requirement (%)	0.16%	0.18%	0.19%	0.21%	0.17%
10	Bank G-SIB and/or D-SIB additional requirements (%)	1.50%	1.50%	1.50%	1.50%	1.50%
11	Total of bank CET1 specific buffer requirements (%) (row 8 + row 9 + row 10)	4.16%	4.18%	4.19%	4.21%	4.17%
12	CET1 available after meeting the bank's minimum capital requirements (%)	8.07%	8.52%	8.64%	7.64%	8.30%
	Basel III leverage ratio					
13	Total Basel III leverage ratio exposure measure	1,159,767,265	1,142,456,575	1,102,094,552	1,081,072,019	1,053,731,334
14	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves)	12.44%	12.68%	12.79%	12.32%	12.81%
14a	Fully loaded ECL accounting model Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) (%)	12.01%	12.24%	12.30%	11.83%	12.29%
14b	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	12.05%	12.28%	12.38%	12%	12%
14c	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.44%	12.68%	12.79%	12%	13%
14d	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.05%	12.28%	12.38%	12%	12%
	Liquidity Coverage Ratio (LCR)					
15	Total high-quality liquid assets HQLA	179,727,888	189,265,994	172,988,657	172,934,669	173,857,950
16	Total net cash outflow	63,984,894	67,326,748	67,026,511	61,427,863	59,871,365
17	LCR ratio (%)	281%	281%	258%	282%	290%
	Net Stable Funding Ratio (NSFR)					
18	Total available stable funding	695,006,687	706,881,482	654,409,570	662,259,872	651,291,456
19	Total required stable funding	629,250,686	617,748,296	594,165,749	587,671,644	574,568,098
20	NSFR ratio	110%	114%	110%	113%	113%

OV1 – Overview of RWA

SAR '000		RWA		Minimum capital Requirements
		Jun - 24	Mar - 24	Jun - 24
1	Credit risk (excluding counterparty credit risk) *	612,299,584	604,680,057	48,983,967
2	Of which: standardized approach (SA)	612,299,584	604,680,057	48,983,967
3	Of which: foundation internal ratings-based (F-IRB) approach			
4	Of which: supervisory slotting approach			
5	Of which: advanced internal ratings-based (A-IRB) approach			
6	Counterparty credit risk (CCR)	7,850,160	7,994,105	628,013
7	Of which: standardized approach for counterparty credit risk	7,850,160	7,994,105	628,013
8	Of which: IMM			
9	Of which: other CCR			
10	Credit valuation adjustment (CVA)	9,673,724	10,016,818	773,898
11	Equity positions under the simple risk weight approach and the internal model method during the five-year linear phase-in period			-
12	Equity investments in funds – look-through approach	46,643,645	43,747,359	3,731,492
13	Equity investments in funds – mandate-based approach**	17,276,488	-	1,382,119
14	Equity investments in funds – fallback approach	4,522,934	4,537,733	361,835
15	Settlement risk			-
16	Securitization exposures in banking book	2,701,985	2,257,910	216,159
17	Of which: securitization IRB approach (SEC-IRBA)			-
18	Of which: securitization external ratings-based approach (SEC-ERBA), including internal assessment approach (IAA)	2,701,985	2,257,910	216,159
19	Of which: securitization standardized approach (SEC-SA)			
20	Market risk	15,919,120	19,095,038	1,273,530
21	Of which: standardized approach (SA)	15,919,120	19,095,038	1,273,530
22	Of which: internal model approach (IMA)			-
23	Capital charge for switch between trading book and banking book			-
24	Operational risk	39,309,946	39,309,946	3,144,796
25	Amounts below the thresholds for deduction (subject to 250% risk weight)			-
26	Output floor applied			
27	Floor adjustment (before application of transitional cap)			
28	Floor adjustment (after application of transitional cap)			
29	Total (1 + 6 + 10 + 11 + 12 + 13 + 14 + 15 + 16 + 20 + 23 + 24 + 25 + 28)	756,197,588	731,638,965	60,495,807

*Increase in “Credit risk (excluding counterparty credit risk)” is primarily due to the balance sheet growth, which is in line with the bank’s plan.

**Increase in “Equity investments in funds – mandate-based approach” is due to review of some of the recent investments’ risk weighting approach that resulted in higher risk weighted assets.

Template ENC: Asset encumbrance

(In SAR thousands)	Encumbered assets	Unencumbered assets	Total
Cash Collateral Posted	3,990,773		3,990,773
Sovereign debt	1,357,829		1,357,829
Equity Securities			
Repurchase Agreements	83,592,484		83,592,484
Others		999,170,692	999,170,692
Total	88,941,086	999,170,692	1,088,111,777

Part 4 – Composition of capital and TLAC

CC1 - Composition of regulatory capital

SAR '000		Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
	Common Equity Tier 1 capital: instruments and reserves		
1	Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	123,701,800	(h)
2	Retained earnings	14,043,515	
3	Accumulated other comprehensive income (and other reserves)	28,368,468	
4	Directly issued capital subject to phase-out from CET1 capital (only applicable to non-joint stock companies)	-	
5	Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1 capital)	539,503	
6	Common Equity Tier 1 capital before regulatory adjustments	166,653,287	
	Common Equity Tier 1 capital: regulatory adjustments		
7	Prudent valuation adjustments	-	
8	Goodwill (net of related tax liability)	(34,006,782)	(a)
9	Other intangibles other than mortgage servicing rights (MSR) (net of related tax liability)	(6,152,110)	(b)
10	Deferred tax assets (DTA) that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)	-	
11	Cash flow hedge reserve	458,692	
12	Shortfall of provisions to expected losses	-	
13	Securitization gain on sale (as set out in [CAP30.14])	-	
14	Gains and losses due to changes in own credit risk on fair valued liabilities	-	
15	Defined benefit pension fund net assets	-	
16	Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)	(2,099,227)	
17	Reciprocal cross-holdings in common equity	-	
18	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	

19	Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-	
20	MSR (amount above 10% threshold)	-	
21	DTA arising from temporary differences (amount above 10% threshold, net of related tax liability)	-	
22	Amount exceeding the 15% threshold	-	
23	Of which: significant investments in the common stock of financials	-	
24	Of which: MSR	-	
25	Of which: DTA arising from temporary differences	-	
26	National specific regulatory adjustments	437,357	
27	Regulatory adjustments applied to Common Equity Tier 1 capital due to insufficient Additional Tier 1 and Tier 2 capital to cover deductions	-	
28	Total regulatory adjustments to Common Equity Tier 1 capital	(41,362,070)	
29	Common Equity Tier 1 capital (CET1)	125,291,217	
	Additional Tier 1 capital: instruments		
30	Directly issued qualifying additional Tier 1 instruments plus related stock surplus	14,187,500	(i)
31	Of which: classified as equity under applicable accounting standards	14,187,500	
32	Of which: classified as liabilities under applicable accounting standards		
33	<i>Directly issued capital instruments subject to phase-out from additional Tier 1 capital</i>		
34	Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group additional Tier 1 capital)	223,500	
35	<i>Of which: instruments issued by subsidiaries subject to phase-out</i>		
36	Additional Tier 1 capital before regulatory adjustments	14,411,000	
	Additional Tier 1 capital: regulatory adjustments		
37	Investments in own additional Tier 1 instruments		
38	Reciprocal cross-holdings in additional Tier 1 instruments		
39	Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)		
40	Significant investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation		
41	National specific regulatory adjustments		
42	Regulatory adjustments applied to additional Tier 1 capital due to insufficient Tier 2 capital to cover deductions		
43	Total regulatory adjustments to additional Tier 1 capital	0	
44	Additional Tier 1 capital (AT1)	14,411,000	
45	Tier 1 capital (T1 = CET1 + AT1)	139,702,217	

	Tier 2 capital: instruments and provisions		
46	Directly issued qualifying Tier 2 instruments plus related stock surplus		
47	Directly issued capital instruments subject to phase-out from Tier 2 capital		
48	Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	74,500	
49	Of which: instruments issued by subsidiaries subject to phase-out		
50	Provisions	6,375,593	
51	Tier 2 capital before regulatory adjustments	6,450,093	
	Tier 2 capital: regulatory adjustments		
52	Investments in own Tier 2 instruments		
53	Reciprocal cross-holdings in Tier 2 instruments and other TLAC liabilities		
54	Investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)		
54a	Investments in the other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation and where the bank does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions (for G-SIBs only)		
55	Significant investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)		
56	National specific regulatory adjustments		
57	Total regulatory adjustments to Tier 2 capital	0	
58	Tier 2 capital (T2)	6,450,093	
59	Total regulatory capital (TC = T1 + T2)	146,152,310	
60	Total risk-weighted assets	756,197,588	
	Capital ratios and buffers		
61	Common Equity Tier 1 capital (as a percentage of risk-weighted assets)	16.57%	
62	Tier 1 capital (as a percentage of risk-weighted assets)	18.47%	
63	Total capital (as a percentage of risk-weighted assets)	19.33%	
64	Institution-specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of risk-weighted assets)	4.16%	
65	Of which: capital conservation buffer requirement	2.50%	
66	Of which: bank-specific countercyclical buffer requirement	0.16%	
67	Of which: higher loss absorbency requirement	1.50%	

68	Common Equity Tier 1 capital (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirements	12.41%	
	National minima (if different from Basel III)		
69	National minimum Common Equity Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A	
70	National minimum Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A	
71	National minimum Total capital adequacy ratio (if different from Basel III minimum)	N/A	
	Amounts below the thresholds for deduction (before risk-weighting)		
72	Non-significant investments in the capital and other TLAC liabilities of other financial entities		
73	Significant investments in the common stock of financial entities		
74	MSR (net of related tax liability)		
75	DTA arising from temporary differences (net of related tax liability)		
	Applicable caps on the inclusion of provisions in Tier 2 capital		
76	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to standardized approach (prior to application of cap)	6,450,093	
77	Cap on inclusion of provisions in Tier 2 capital under standardized approach	8,762,107	
78	Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to internal ratings-based approach (prior to application of cap)		
79	Cap for inclusion of provisions in Tier 2 capital under internal ratings-based approach		
	Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)		
80	Current cap on CET1 instruments subject to phase-out arrangements	N/A	
81	Amount excluded from CET1 capital due to cap (excess over cap after redemptions and maturities)	N/A	
82	Current cap on AT1 instruments subject to phase-out arrangements	N/A	
83	Amount excluded from AT1 capital due to cap (excess over cap after redemptions and maturities)	N/A	
84	Current cap on Tier 2 instruments subject to phase-out arrangements	N/A	
85	Amount excluded from Tier 2 capital due to cap (excess over cap after redemptions and maturities)	N/A	

CC2 – Reconciliation of regulatory capital to balance sheet

SAR '000	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	Q2 2024	Q2 2024	
Assets			
Cash and balances with SAMA	50,797,627	50,797,627	
Due from banks and other financial institutions, net	25,726,082	25,726,082	
Investments, net	286,735,251	286,735,251	
Financing and advances, net	637,235,192	637,235,192	
Positive fair value of derivatives, net	22,888,159	22,888,159	
Investments in associates, net	246,049	246,049	
Property, equipment and software, net	11,381,449	11,381,449	
Goodwill	34,006,782	34,006,782	(a)
Intangible assets	6,152,110	6,152,110	(b)
Right of use assets, net	1,074,556	1,074,556	
Other assets	11,868,520	11,868,520	
Total assets	1,088,111,777	1,088,111,777	
Liabilities			
Due to banks and other financial institutions	143,804,586		
Customers' deposits	632,692,765		
Debt securities issued	85,701,465		
Negative fair value of derivatives, net	22,119,648	22,119,648	
Other liabilities	23,802,550		
Total liabilities	908,121,014	22,119,648	
Shareholders' Equity			
Share capital	60,000,000	60,000,000	
Share premium	63,701,800	63,701,800	
Tier 1 Sukuk	15,187,500	15,187,500	
Of which: amount eligible for CET1	123,701,800	123,701,800	(h)
Of which: amount eligible for AT1	14,411,000	14,411,000	(i)
Treasury shares	(2,099,227)	(2,099,227)	
Statutory reserve	41,154,341	41,154,341	
Other reserves (cumulative changes in fair values)	(5,333,950)	(5,333,950)	
Employees' share-based payments reserve	372,630	372,630	
Retained earnings	14,043,515	14,043,515	
Foreign currency translation reserve	(7,824,553)	(7,824,553)	
Non-controlling interests	788,707	788,707	
of which Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	539,503	539,503	
Total shareholders' equity	179,990,763	179,990,763	

CCA - Main features of regulatory capital instruments and of other TLAC-eligible instruments

1)	Quantitative / qualitative information
Issuer	Saudi National Bank
Unique identifier (e.g. Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	SNB AB
Governing law(s) of the instrument	Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	N/A
Post-transitional Basel III rules	N/A
Eligible at solo/group/group and solo	Group and Solo
Instrument type (refer to SACAP)	Ordinary shares
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	SAR 60,000 mil
Par value of instrument	SAR 10
Accounting classification	Equity
Original date of issuance	11/12/2014
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior SAMA approval	N/A
Optional call date, contingent call dates and redemption amount	N/A
Subsequent call dates, if applicable	N/A
<i>Coupons / dividends</i>	
Fixed or floating dividend/coupon	N/A
Coupon rate and any related index	N/A
Existence of a dividend stopper	N/A
Fully discretionary, partially discretionary or mandatory	N/A
Existence of step-up or other incentive to redeem	N/A
Non-cumulative or cumulative	N/A
Convertible or non-convertible	N/A
If convertible, conversion trigger(s)	N/A
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Writedown feature	N/A
If writedown, writedown trigger(s)	N/A
If writedown, full or partial	N/A
If writedown, permanent or temporary	N/A
If temporary write-down, description of writeup mechanism	N/A
Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	N/A
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

2)	Quantitative / qualitative information
Issuer	Saudi National Bank
Unique identifier (e.g. Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	N/A
Governing law(s) of the instrument	Law of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	Additional Tier 1 Capital
Post-transitional Basel III rules	Eligible
Eligible at solo/group/group and solo	Group and Solo
Instrument type (refer to SACAP)	Subordinated Sukuk
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	SAR 2,000mil
Par value of instrument	SAR 2,000mil
Accounting classification	Equity
Original date of issuance	7/15/2015
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior SAMA approval	Yes
Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the first call date is 15 July 2025 which is equal to 10 years following the date of the issuance; in addition (on any profit distribution date after the date of issuance), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount.
Subsequent call dates, if applicable	Any profit distribution dates after the first call date
<i>Coupons / dividends</i>	
Fixed or floating dividend/coupon	Floating
Coupon rate and any related index	3-month offered rate for deposits in Saudi Riyals + 3.25% p.a (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
Existence of a dividend stopper	Yes
Fully discretionary, partially discretionary or mandatory	Fully Discretionary
Existence of step-up or other incentive to redeem	None
Non-cumulative or cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible
If convertible, conversion trigger(s)	N/A
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Writedown feature	Yes
If writedown, writedown trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
If writedown, full or partial	Full or partial write-down
If writedown, permanent or temporary	Permanent
If temporary write-down, description of writeup mechanism	N/A
Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

3)	Quantitative / qualitative information
Issuer	Saudi National Bank
Unique identifier (e.g. Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	N/A
Governing law(s) of the instrument	Law of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	Additional Tier 1 Capital
Post-transitional Basel III rules	Eligible
Eligible at solo/group/group and solo	Group and solo
Instrument type (refer to SACAP)	Subordinated Sukuk
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	SAR 4,200 Mil
Par value of instrument	SAR 4,200 Mil
Accounting classification	Equity
Original date of issuance	6/30/2020
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior SAMA approval	Yes
Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the first call date is 30 June 2025 which is equal to 5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.
Subsequent call dates, if applicable	In relation to the issuer call option, any profit distribution date following the first call date
Coupons / dividends	
Fixed or floating dividend/coupon	Variable
Coupon rate and any related index	4.25% p.a. from (and including) the date of issuance to (but excluding) the first call date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 2.85% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
Existence of a dividend stopper	Yes
Fully discretionary, partially discretionary or mandatory	Fully discretionary
Existence of step-up or other incentive to redeem	None
Non-cumulative or cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible
If convertible, conversion trigger(s)	None
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Writedown feature	Yes
If writedown, writedown trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
If writedown, full or partial	Full or partial write-down
If writedown, permanent or temporary	Permanent
If temporary write-down, description of writeup mechanism	N/A
Type of subordination	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	N/A
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

4)

	Quantitative / qualitative information
Issuer	Saudi National Bank
Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)	N/A
Governing law(s) of the instrument	Law of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	Additional Tier 1 Capital
Post-transitional Basel III rules	Eligible
Eligible at solo/group/group and solo	Group and solo
Instrument type (types to be specified by each jurisdiction)	Subordinated Sukuk
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	SAR 3,300 Mil
Par value of instrument	SAR 3,300 Mil
Accounting classification	Equity
Original date of issuance	9/15/2022
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior supervisory approval	Yes
Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the first call date is 15 September 2027 which is equal to 5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.
Subsequent call dates, if applicable	In relation to the issuer call option, any profit distribution date following the first call date
Coupons / dividends	
Fixed or floating dividend/coupon	Variable
Coupon rate and any related index	5.00% p.a. from (and including) the date of issuance to (but excluding) the first call date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.003% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
Existence of a dividend stopper	Yes
Fully discretionary, partially discretionary or mandatory	Fully discretionary
Existence of step-up or other incentive to redeem	None
Non-cumulative or cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible
If convertible, conversion trigger(s)	None
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Write-down feature	Yes
If write-down, write-down trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
If write-down, full or partial	Full or partial write-down
If write-down, permanent or temporary	Permanent
If temporary write-down, description of write-up mechanism	N/A
Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

5)	Quantitative / qualitative information
Issuer	Issuer: NCB Tier 1 Sukuk Limited / Obligor: Saudi National Bank
Unique identifier (e.g. Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	ISIN: XS2280537916
Governing law(s) of the instrument	English Law
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	Additional Tier 1 Capital
Post-transitional Basel III rules	Eligible
Eligible at solo/group/group and solo	Group and Solo
Instrument type (refer to SACAP)	Subordinated Sukuk
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	USD 1,250mil
Par value of instrument	USD 1,250mil
Accounting classification	Equity
Original date of issuance	1/26/2021
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior SAMA approval	Yes
Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the first call date is 26 July 2026 which is equal to 5.5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.
Subsequent call dates, if applicable	The first call date and any date thereafter up to and including the first reset date which is 26 January 2027; any profit distribution dates thereafter
<i>Coupons / dividends</i>	
Fixed or floating dividend/coupon	Variable
Coupon rate and any related index	3.50% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every six years thereafter to Relevant Six Year Reset Rate (as defined in the conditions of the instrument) + 2.889% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
Existence of a dividend stopper	Yes
Fully discretionary, partially discretionary or mandatory	Fully discretionary
Existence of step-up or other incentive to redeem	None
Non-cumulative or cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible
If convertible, conversion trigger(s)	None
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Writedown feature	Yes
If writedown, writedown trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
If writedown, full or partial	Written down fully or partial
If writedown, permanent or temporary	Permanent
If temporary write-down, description of writeup mechanism	N/A
Type of subordination	N/A
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

6)	Quantitative / qualitative information
Issuer	SNB Capital
Unique identifier (e.g. Committee on Uniform Security Identification Procedures (CUSIP), International Securities Identification Number (ISIN) or Bloomberg identifier for private placement)	N/A
Governing law(s) of the instrument	The instrument is governed by the laws of the Kingdom of Saudi Arabia
Means by which enforceability requirement of Section 13 of the TLAC Term Sheet is achieved (for other TLAC-eligible instruments governed by foreign law)	N/A
Transitional Basel III rules	Additional Tier 1 Capital
Post-transitional Basel III rules	Eligible
Eligible at solo/group/group and solo	Group and Solo
Instrument type (refer to SACAP)	Subordinated Sukuk
Amount recognized in regulatory capital (currency in millions, as of most recent reporting date)	
Par value of instrument	SAR 1,000 Mil
Accounting classification	Equity
Original date of issuance	2/8/2023
Perpetual or dated	Perpetual
Original maturity date	N/A
Issuer call subject to prior SAMA approval	
Optional call date, contingent call dates and redemption amount	Compliant with Basel requirements for call date to be equal to or greater than 5 years
Subsequent call dates, if applicable	Any profit distribution date following the first call date
Coupons / dividends	
Fixed or floating dividend/coupon	Fixed
Coupon rate and any related index	5.8% from (including date of issuance) to (excluding the first optional call date), reset every five years thereafter.
Existence of a dividend stopper	Yes
Fully discretionary, partially discretionary or mandatory	Fully discretionary
Existence of step-up or other incentive to redeem	None
Non-cumulative or cumulative	Non-cumulative
Convertible or non-convertible	Non-convertible
If convertible, conversion trigger(s)	None
If convertible, fully or partially	N/A
If convertible, conversion rate	N/A
If convertible, mandatory or optional conversion	N/A
If convertible, specify instrument type convertible into	N/A
If convertible, specify issuer of instrument it converts into	N/A
Writedown feature	Yes
If writedown, writedown trigger(s)	Non-Viability Event
If writedown, full or partial	Full or partial write-down
If writedown, permanent or temporary	Permanent
If temporary write-down, description of writeup mechanism	N/A
Type of subordination	Direct, unsecured, unconditional and subordinated obligations
Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinate and junior to all Senior Obligations
Non-compliant transitioned features	N/A
If yes, specify non-compliant features	N/A

Part 5 – Macro prudential supervisory measures

CCyB1 – Geographical distribution of credit exposures used in the countercyclical buffer

SAR '000

Geographical breakdown	Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets used in the computation of the countercyclical capital buffer		Bank-specific countercyclical capital buffer rate	Countercyclical buffer amount
		Exposure values	Risk-weighted assets		
Belgium	0.50%	8,129	13,429	67	
Chile	0.50%	2,104,235	1,184,630	5,923	
Luxembourg	0.50%	6,627,042	5,625,000	28,125	
Germany	0.75%	113,939	26,700	200	
Australia	1.00%	21,819	21,819	218	
France	1.00%	1,383,173	533,050	5,330	
Hong Kong SAR	1.00%	117,535	63,574	636	
Korea	1.00%	6,413,710	1,694,006	16,940	
Netherlands	2.00%	121,413	24,326	487	
Sweden	2.00%	318	64	1	
United Kingdom	2.00%	18,512,663	3,748,928	74,979	
Denmark	2.50%	1,752	376	9	
Norway	2.50%	5,516	1,103	28	
Others	2.50%	76,233,386	35,870,641	896,766	
Sum		111,664,628	48,807,644	1,029,709	
Total		808,327,516	635,733,729	0.16%	1,029,709

Part 6 – Leverage ratio

LR1 – Summary comparison of accounting assets vs leverage ratio exposure measure

SAR '000

1	Total consolidated assets as per published financial statements	1,088,111,777
2	Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	
3	Adjustment for securitized exposures that meet the operational requirements for the recognition of risk transference	
4	Adjustments for temporary exemption of central bank reserves (if applicable)	
5	Adjustment for fiduciary assets recognized on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	(3,054,651)
6	Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	
7	Adjustments for eligible cash pooling transactions	(3,080,082)
8	Adjustments for derivative financial instruments	
9	Adjustment for securities financing transactions (i.e. repurchase agreements and similar secured lending)	
10	Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	117,949,113
11	Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	
12	Other adjustments	(40,158,892)
13	Leverage ratio exposure measure	1,159,767,265

LR2 – Leverage ratio common disclosure template

SAR '000

		Q2 2024	Q1 2024
On-balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	1,065,223,618	1,050,951,472
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework		
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)	(3,054,651)	(2,666,828)
4	(Adjustment for securities received under securities financing transactions that are recognized as an asset)		
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Tier 1 capital)		
6	(Asset amounts deducted in determining Tier 1 capital and regulatory adjustments)	(40,158,892)	(40,363,962)
7	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)	1,022,010,075	1,007,920,682
Derivative exposures			
8	Replacement cost associated with all derivatives transactions (where applicable net of eligible cash variation margin, with bilateral netting and/or the specific treatment for client cleared derivatives)	12,249,637	11,660,224
9	Add-on amounts for potential future exposure associated with all derivatives transactions	7,558,439	7,527,161
10	(Exempted central counterparty (CCP) leg of client-cleared trade exposures)		
11	Adjusted effective notional amount of written credit derivatives		
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)		
13	Total derivative exposures (sum of rows 8 to 12)	19,808,077	19,187,385
Securities financing transaction exposures			
14	Gross SFT assets (with no recognition of netting), after adjusting for sale accounting transactions		
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)		
16	Counterparty credit risk exposure for SFT assets		
17	Agent transaction exposures		
18	Total securities financing transaction exposures (sum of rows 14 to 17)		
Other off-balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	297,716,582	308,399,535
20	(Adjustments for conversion to credit equivalent amounts)	(179,767,469)	(193,051,027)
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)		
22	Off-balance sheet items (sum of rows 19 to 21)	117,949,113	115,348,508
Capital and total exposures			
23	Tier 1 capital	139,702,217	140,243,558
24	Total exposures (sum of rows 7, 13, 18 and 22)	1,159,767,265	1,142,456,575
Leverage ratio			
25	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)	12.44%	12.68%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	12.05%	12.28%
26	National minimum leverage ratio requirement	3%	3%
27	Applicable leverage buffers	9%	9%

Part 7 – Liquidity

LIQ1 – Liquidity Coverage Ratio (LCR)

SAR '000

		Total unweighted value (average)	Total weighted value (average)
High-quality liquid assets			
1	Total HQLA		179,727,888
Cash outflows			
2	Retail deposits and deposits from small business customers, of which:	367,235,986	34,173,890
3	Stable deposits	0	0
4	Less stable deposits	341,738,902	34,173,890
5	Unsecured wholesale funding, of which:	160,465,117	75,853,781
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	15,884	3,971
7	Non-operational deposits (all counterparties)	160,379,839	75,780,416
8	Unsecured debt	69,394	69,394
9	Secured wholesale funding		2,117,959
10	Additional requirements, of which:	22,801,796	3,691,551
11	Outflows related to derivative exposures and other collateral requirements	894,902	894,902
12	Outflows related to loss of funding on debt products	0	0
13	Credit and liquidity facilities	21,906,894	2,796,649
14	Other contractual funding obligations	14,206,946	794,240
15	Other contingent funding obligations	153,003,177	2,842,258
16	TOTAL CASH OUTFLOWS		119,473,679
Cash inflows			
17	Secured lending (e.g. reverse repos)	0	0
18	Inflows from fully performing exposures	117,502,337	55,488,785
19	Other cash inflows	11,003,818,725	0
20	TOTAL CASH INFLOWS	11,744,252,541	55,488,785
			Total adjusted value
21	Total HQLA		179,727,888
22	Total net cash outflows		63,984,894
23	Liquidity Coverage Ratio (%)		280.89%

The average LCR is calculated by taking a simple average of monthly figures based on daily average balances beginning from Oct 1st, 2023 to December 31, 2023.

During the period, the Bank held an average of 98.53% of its High-Quality Liquid Assets (HQLAs) in securities with a 0% risk weight, issued or guaranteed by sovereigns, central banks and supranational entities. The remaining 1.47% of HQLAs held a 20% risk weight from securities guaranteed by sovereigns and non-financial corporate bonds rated AA- or better.

The majority of the bank's weighted cash outflows are attributable to non-financial corporates at 41.25% of outflows. Whereas retail and small Businesses' deposits held 27.56%, and bank placements at 16.40%. SNB's derivatives positions are not significant, as most transactions are conducted on a back-to-back basis with limited open positions being taken. The Group's main activities are conducted in SAR, USD, and TRY. The peg between SAR and USD currencies enhances the funding ability and provides the flexibility to interchange between both currencies.

Additionally, following regulatory guidelines, LCR is monitored separately for all significant currencies to ensure the liquidity ratios are met at all times in either currency, SAR, USD and TRY.

The average Q4-2023 LCR is 258.09% as compared to Q3-2023 LCR which was 281.52%, a decrease of 23.43%. The decrease in the LCR between the two periods is primarily due to increase in net cash outflow, caused by increased in average secured and unsecured wholesale funding. However, average contractual inflows by retail and non-financial corporates loans due in ≤ 30 days period also increased. assets and increased in net cash outflow.

LIQ2 – Net Stable Funding Ratio (NSFR)

SAR'000		Unweighted value by residual maturity				Weighted value
		No maturity	< 6 months	6 months to < 1 year	≥ 1 year	
Available stable funding (ASF) item						
1	Capital:	-	-	-	187,888,042	187,888,042
2	Regulatory capital				166,654,400	166,654,400
3	Other capital instruments				21,233,642	21,233,642
4	Retail deposits and deposits from small business customers:	340,093,256	37,941,353	7,099,537	2,929,455	349,550,186
5	Stable deposits					
6	Less stable deposits	340,093,256	37,941,353	7,099,537	2,929,455	349,550,186
7	Wholesale funding:	165,920,119	72,237,397	6,618,984	3,363,493	125,751,743
8	Operational deposits	5,409,546	-	-	-	2,704,773
9	Other wholesale funding	160,510,573	72,237,397	6,618,984	3,363,493	123,046,970
10	Liabilities with matching interdependent assets	0	0	0	0	0
11	Other liabilities:	0	195,463,949	9,612,388	27,010,522	31,816,716
12	NSFR derivative liabilities		-	-	-	
13	All other liabilities and equity not included in the above categories	-	195,463,949	9,612,388	27,010,522	31,816,716
14	Total ASF					695,006,687
Required stable funding (RSF) item						
15	Total NSFR high-quality liquid assets (HQLA)					12,179,423
16	Deposits held at other financial institutions for operational purposes	11,777,162	18,783,042	-	24,881,669	40,161,771
17	Performing loans and securities:	15,740,030	222,330,180	45,740,415	388,468,710	477,360,882
18	Performing loans to financial institutions secured by Level 1 HQLA	0	0	0	0	0
19	Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions	-	719,555	-	-	107,933
20	Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:	-	217,564,453	38,797,002	354,310,971	429,345,053
21	With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk	0	0	0	0	0
22	Performing residential mortgages, of which:	0	0	0	0	0
23	With a risk weight of less than or equal to 35% under the Basel II standardized approach for credit risk		-	-	-	
24	Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	15,740,030	4,046,172	6,943,413	34,157,739	47,907,896
25	Assets with matching interdependent liabilities	-	-	-	-	-
26	Other assets:	46,083,153	159,269,481	-	96,398,768	98,043,164
27	Physical traded commodities, including gold	334,998				284,748
28	Assets posted as initial margin for derivative contracts and contributions to default funds of central counterparties		695,581			591,244
29	NSFR derivative assets		768,404			768,404
30	NSFR derivative liabilities before deduction of variation margin posted		-			-
31	All other assets not included in the above categories	45,748,155	-	-	96,398,768	96,398,768
32	Off-balance sheet items		157,805,496	0	0	1,505,446
33	Total RSF					629,250,686
34	Net Stable Funding Ratio (%)					110.45%

As at the end of June 2024, the Bank held a balance of 27.03% of its Available Stable Funding (ASF) in capital, with a 100% ASF factor, comprised of regulatory and other capital instruments. The majority of Available Stable Funding was held as retail and SME deposits at 50.29%, with a 90% ASF factor, 18.09% of ASF was in wholesale funding, with a 50% ASF factor and the remaining balances were held as other liabilities with different ASF factors.

The Required Stable Funding (RSF) at the end of June 2024 is predominantly comprised of performing loans and securities holding 75.86% of the total Required Stable Funding, with various RSF factors. Of these loans, were performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to financial institutions at 68.25% of the total Required Stable Funding. The remaining composition of RSF held weights in HQLA's, deposits held at other financial institutions, other assets and off-balance sheet items.

A comparison with prior semi-annual NSFR is presented in the following table:

Description	June-24	Mar-24
NSFR	110.45%	114.43%

The Net Stable Funding Ratio as of June 2024 is 110.45%. A decrease of 3.98% as compared to March 2024 114.43%

Part 8 – Credit Risk

CR1 – Credit quality of assets

SAR '000		Gross carrying values of		Allowances/impairments	Of which ECL accounting provisions for credit losses on SA exposures		Of which ECL accounting provisions for credit losses on IRB exposures	Net values (a+b-c)
		Defaulted exposures	Non-defaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General		
1	Loans*	7,171,354	638,348,373	11,203,676	4,985,472	6,218,204		634,316,051
2	Debt Securities		258,690,002	12,001		12,001		258,678,001
3	Off-balance sheet exposures	6,042,406	314,509,519	397,448	397,448	-		320,154,477
4	Total	13,213,760	1,211,547,894	11,613,125	5,382,920	6,230,205	-	1,213,148,529

* Note that these balances exclude Purchased or Originated Credit Impaired loans, the treatment of which is disclosed in note 5.1 of the published financial statements.

A default is considered to have occurred with regard to a particular obligor when either or both of the two following events have taken place:

1. The obligor is past due for 90 days or more on any material credit obligations to the Bank including principal instalments, interest payments and fees. The materiality threshold for recognition of default is 5% of the total outstanding credit obligations of the client.
2. The Bank considers that the obligor is unlikely to pay its credit obligations to the Bank in full, without recourse by the Bank to actions such as realizing security (if any).

CR2 – Changes in stock of defaulted loans and debt securities

SAR '000		
1	Defaulted loans and debt securities at end of the previous reporting period	7,359,470
2	Loans and debt securities that have defaulted since the last reporting period	1,283,390
3	Returned to non-defaulted status	(289,540)
4	Amounts written off	(955,305)
5	Other changes	(226,661)
6	Defaulted loans and debt securities at end of the reporting period	7,171,354

CR3 – Credit risk mitigation techniques – overview

		Exposures unsecured: carrying amount	Exposures to be secured	Exposures to be secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1	Loans	583,276,822		51,039,229	15,253,464	
2	Debt securities	258,678,001			2,439,036	
3	Total	841,954,823		51,039,229	17,692,500	
4	Of which defaulted	7,171,354				

CR4 – Standardized approach – credit risk exposure and Credit Risk Mitigation (CRM) effects

SAR '000	Exposures before CCF & CRM		Exposures post-CCF & CRM		RWA and RWA density	
Asset classes	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
Sovereigns and their central banks	247,945,269	993,220	260,639,252	402,327	16,253,780	6%
Non-central government public sector entities	287,945	8,682	287,945	4,263	144,601	49%
Multilateral development banks	2,386,072	-	2,619,630	-	-	0%
Banks	68,237,575	22,317,600	67,509,201	15,920,853	33,209,701	40%
Of which: securities firms and other financial institutions	-	-	-	-	-	-
Covered bonds	-	-	-	-	-	-
Corporates	313,106,044	244,241,543	274,480,745	87,313,087	335,359,644	93%
Of which: securities firms and other financial institutions	-		-		-	-
Of which: specialized lending	27,320,050	9,781,177	27,320,050	3,952,224	35,290,243	113%
Subordinated debt, equity and other capital	14,153,893	-	12,048,675	-	19,120,463	159%
Retail	134,764,759	13,921,107	125,216,157	2,373,399	95,095,331	75%
MSMEs	6,227,509	2,324,152	5,238,991	1,018,318	4,692,982	75%
Real estate	185,833,660	4,223,143	185,833,660	1,662,400	87,538,690	47%
Of which: general RRE	174,193,994	-	174,193,994	-	70,259,872	40%
Of which: IPRRE	21,360	-	21,360	-	16,020	75%
Of which: general CRE	208,046	-	208,046	-	148,614	71%
Of which: IPCRE	6,237,016	-	6,237,016	-	6,860,717	110%
Of which: land acquisition, development and construction	5,173,244	4,223,143	5,173,244	1,662,400	10,253,467	150%
Defaulted exposures	10,090,495	6,042,406	5,105,023	604,241	4,478,387	78%
Other assets	28,922,958	-	28,922,958	-	21,098,989	73%
Total	1,005,728,669	291,747,701	962,663,247	108,280,569	612,299,584	57%

CR5 – Standardized approach – exposures by asset classes and risk weights

Asset classes	0%	10%	15%	20%	25%	30%	35%	40%	45%	50%	60%	65%	70%	75%	80%	85%	90%	100%	105%	110%	130%	150%	250% ^[1]	400% ^[1]	1250%	Other	Total credit exposure amount (post-CCF and post-CRAM)
1 Sovereigns and their central banks	229,067,395			17,770,565						3,244,915								10,721,696				237,009					261,041,580
2 Non-central government public sector entities				238						289,106															2,864		292,208
3 Multilateral development banks	2,619,630																										2,619,630
4 Banks				9,013,107		55,028,711		111		11,452,835				600				5,460,964				2,473,727					83,430,055
Of which: securities firms and other financial institutions																											-
5 Covered bonds																											-
6 Corporates				7,469,278						34,491,685				12,502,002	455,763	34,588,074		256,424,318			13,697,073	2,165,638					361,793,831
Of which: securities firms and other financial institutions																											-
Of which: specialised lending															455,763			17,119,437			13,697,073						31,272,273
7 Subordinated debt, equity and other capital																						5,099,980		6,555,093	390,249		12,048,675
8 Retail									4,389,042					120,387,832				2,679,029								133,653	127,589,556
MSMEs														6,257,309													6,257,309
9 Real estate	-			109,432,088	153,276	225,156	25,830	16,383	16,684	150,484				64,339,753				59,465		6,237,016		6,835,645				4,281	187,496,061
Of which: general RRE				109,432,088	153,276	225,156	25,830	16,383	16,684	1,903				64,339,753												4,281	174,215,354
Of which: no loan splitting applied				480,900	153,276	225,156	25,830	16,383	16,684	1,903				24,405												4,281	948,818
Of which: loan splitting applied (secured)				108,951,188										64,315,348													173,266,536
Of which: loan splitting applied (unsecured)																											-
Of which: IPRRE																											-
Of which: general CRE											148,580							59,465									208,046
Of which: no loan splitting applied											148,580							59,465									208,046
Of which: loan splitting applied (secured)																											-
Of which: loan splitting applied (unsecured)																											-
Of which: IPCRE																				6,237,016							6,237,016
Of which: land acquisition, development and construction																						6,835,645					6,835,645
10 Defaulted exposures	-									3,326,304								1,518,409				864,551					5,709,264
11 Other assets	7,823,969																	21,098,989									28,922,958
12 Total	239,516,994	-	-	143,685,276	153,276	55,253,867	-	25,941	4,405,425	52,821,529	150,484	-	-	197,230,187	455,763	34,588,074	-	297,966,223	-	6,237,016	13,697,073	17,676,550	-	6,555,093	-	531,047	1,070,943,818

Exposure amounts and CCFs applied to off-balance sheet exposures, categorized based on risk bucket of converted exposures

	Risk weight	^a On-balance sheet exposure	^b Off-balance sheet exposure (pre-CCF)	^c Weighted average CCF*	^d Exposure (post-CCF and post-CRM)
1	Less than 40%	446,364,295	446,364,295	99%	851,444,615
2	40–70%	71,679,919	71,679,919	86%	105,171,761
3	75%	206,858,676	206,858,676	96%	388,098,585
4	85%	58,935,558	58,935,558	71%	56,959,492
5	90–100%	451,668,118	451,668,118	74%	463,843,809
6	105–130%	25,828,794	25,828,794	78%	32,452,768
7	150%	23,145,142	23,145,142	73%	29,729,011
8	250%	388,003	388,003	100%	-
9	400%	2,246	2,246	100%	-
10	1250%	-	-	0%	-
11	Total exposures	1,284,870,751	1,284,870,751		1,927,700,042
* Weighting is based on off-balance sheet exposure (pre-CCF).					

Part 9 – Counterparty Credit Risk

The counterparty credit risk section includes all exposures in the banking book and trading book that are subject to a counterparty credit risk charge, including the CVA capital charges and charges applied to exposures to central counterparties (CCPs)

Existing derivatives contracts in which SNB is engaged in do not have provisions for posting additional collaterals in case of a credit rating downgrade.

CCR1 – Analysis of counterparty credit risk (CCR) exposure by approach

SAR '000		Replacement cost	Potential future exposure	EEPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	SA-CCR (for derivatives)	3,429,081	4,896,349		1.4	11,655,602	7,687,111
2	Internal Model Method (for derivatives and SFTs)						
3	Simple Approach for credit risk mitigation (for SFTs)						
4	Comprehensive Approach for credit risk mitigation (for SFTs)						
5	VaR for SFTs						
6	Total						7,687,111

CCR3 – Standardized approach of CCR exposures by regulatory portfolio and risk weights

SAR '000

Regulatory portfolio*/ Risk weight**	0%	10%	20%	50%	75%	100%	150%	Others	Total credit exposures
Sovereigns	155,981					149			156,130
Non-central government public sector entities									-
Multilateral development banks	15								15
Banks			2,352,315	555,141			298	2,331,040	5,238,794
Securities firms									-
Corporates				15,602		6,190,289			6,205,891
Regulatory retail portfolios								54,772	54,772
Other assets								8,152,475	8,152,475
Total	155,996	-	2,352,315	570,743	-	6,190,438	298	10,538,287	19,808,077

*The breakdown by risk weight and regulatory portfolio included in the template is for illustrative purposes. Banks may complete the template with the breakdown of asset classes according to the local implementation of the Basel framework.

**Banks subject to the simplified standardized approach should indicate risk weights determined by the supervisory authority in the columns.

CCR5 – Composition of collateral for CCR exposure

SAR '000	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
	Segregated	Unsegregated	Segregated	Unsegregated		
Cash – domestic currency	210,920		292,540			
Cash – other currencies	3,636,893		3,698,233			
Domestic sovereign debt	-		1,357,829			
Other sovereign debt	-		-			
Government agency debt	-		-			
Corporate bonds	-		78,000			
Equity securities	-					
Other collateral	-		-			
Total	3,847,813		5,426,602			

CCR6 – Credit derivatives exposures

	Protection bought	Protection sold
Notionals		
Single-name credit default swaps	18,750	18,750
Index credit default swaps		
Total return swaps		
Credit options		
Other credit derivatives		
Total nationals	18,750	18,750
Fair values		
Positive fair value (asset)	1,206	
Negative fair value (liability)	(2,667)	(889)

CCR8 – Exposure to central counterparties

SAR '000

	EAD (Post – CRM)	RWA
Exposures to QCCPs (total)	8,152,475	163,050
Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	8,152,475	163,050
(i) OTC derivatives	8,152,475	163,050
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		
Exposures to non-QCCPs (total)	11,655,602	7,687,111
Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which	11,655,602	7,687,111
(i) OTC derivatives	11,655,602	7,687,111
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		

Part 10 – Securitization

SEC1 – Securitization exposures in the banking book

SAR '000		Bank acts as originator				Bank acts as sponsor				Banks acts as investor			
		Traditional	Of which STC	Synthetic	Sub- total	Traditional	Of which STC	Synthetic	Sub- total	Traditional	Of which STC	Synthetic	Sub-total
1	Retail (total) – of which									4,593,759			4,593,759
2	residential mortgage									4,526,058			4,526,058
3	credit card												-
4	other retail exposures									67,701			67,701
5	re-securitization												-
6	Wholesale (total) – of which									6,807,420			6,807,420
7	loans to corporates									6,807,420			6,807,420
8	commercial mortgage												
9	lease and receivables												
10	other wholesale												
11	re-securitization												

SEC4 – Securitization exposures in the banking book and associated capital requirements – bank acting as investor

		Exposure values (by RW bands)					Exposure values (by regulatory approach)				RWA (by regulatory approach)				Capital charge after cap			
		≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1250 % RW	1250 % RW	IRB A	ERBA - IAA	SEC-SA	1250%	IRBA	ERBA - IAA	SEC-SA	1250 %	IRBA	ERBA - IAA	SEC-SA	1250%
1	Total exposures	10,550,041	213,911	457,316	179,911	-	-	11,401,180	-	-	-	2,701,985	-	-	-	216,159		
2	Traditional securitization	10,550,041	213,911	457,316	179,911	-	-	11,401,180	-	-	-	2,701,985	-	-	-	216,159		
3	Of which securitization	10,550,041	213,911	457,316	179,911	-	-	11,401,180	-	-	-	2,701,985	-	-	-	216,159		
4	Of which retail underlying	4,450,056	76,002				-	4,526,058	-	-	-	928,012	-	-	-	74,241		
5	Of which STC	29,705			37,997		-	67,701	-	-	-	56,724	-	-	-	4,538		
6	Of which wholesale	6,070,281	137,909	457,316	141,915		-	6,807,420	-	-	-	1,717,249	-	-	-	137,380		
7	Of which STC																	
8	Of which re-securitization																	
9	Synthetic securitization																	
10	Of which securitization																	
11	Of which retail underlying																	
12	Of which wholesale																	
13	Of which re-securitization																	

Part 11 – Market Risk

The market risk section includes the market risk capital requirements calculated for trading book and banking book exposures that are subject to a market risk charge. However, it excludes the counterparty credit risk capital charges that apply to the same exposures, which are reported in Part 9 – Counterparty credit risk.

MR1 – Market risk under standardized approach

SAR '000

		Capital charge in SA
1	General interest rate risk	128,304
2	Equity risk	408,546
3	Commodity risk	2,645
4	Foreign exchange risk	484,946
5	Credit spread risk – non-securitizations	188,663
6	Credit spread risk – securitizations (non-correlation trading portfolio)	
7	Credit spread risk – securitization (correlation trading portfolio)	
8	Default risk – non-securitizations	21,590
9	Default risk – securitizations (non-correlation trading portfolio)	
10	Default risk – securitizations (correlation trading portfolio)	
11	Residual risk add-on	38,836
12	Total	1,273,530

CVAA: Credit Valuation Adjustment (CVA)

CVA1: The reduced basic approach for CVA (BA-CVA)

		Components	BA-CVA RWA
1	Aggregation of systematic components of CVA risk	1,311,434,088,588,180	
2	Aggregation of idiosyncratic components of CVA risk	141,497,807,532,548	
3	Total		9,673,724

CVA4: RWA flow statements of CVA risk exposures under SA-CVA

		A
1	Total RWA for CVA at previous quarter-end	10,016,818
2	Total RWA for CVA at end of reporting period	9,673,724

Appendix

The below list of tables and templates are not available as the related approach is not applicable to the Bank

	Tables and templates	ref. #
Overview of risk management, key prudential metrics and RWA	KM2 -Key metrics – total loss-absorbing capacity (TLAC) requirements (at resolution group level)	KM2
Comparison of modelled and standardized RWA	CMS1- Comparison of modelled and standardized RWA at risk level	CMS1
	CMS2- Comparison of modelled and standardized RWA for credit risk at asset class level	CMS2
Credit valuation adjustment risk	CVA2- The full basic approach for CVA (BA-CVA)	CVA2
	CVAB- Qualitative disclosures for banks using the SA-CVA	CVAB
	CVA3- The standardized approach for CVA (SA-CVA)	CVA3
Part 3 – Linkages between financial statements and regulatory	PV1 – Prudent valuation adjustments (PVA)	PV1
Part 4 – Composition of capital and TLAC	TLAC1 –TLAC composition for G-SIBs (at resolution group level)	TLAC1
	TLAC2 – Material subgroup entity – creditor ranking at legal entity level	TLAC2
	TLAC3 – Resolution entity – creditor ranking at legal entity level	TLAC3
Part 5 – Macroprudential supervisory measures	GSIB1 – Disclosure of G-SIB indicators	GSIB1
Part 8 – Credit risk	CRE – Qualitative disclosures related to IRB models	B.15
	CR6 – IRB - Credit risk exposures by portfolio and PD range	B.16
	CR7 – IRB – Effect on RWA of credit derivatives used as CRM techniques	B.17
	CR8 – RWA flow statements of credit risk exposures under IRB	B.18

	CR9 – IRB – Back testing of probability of default (PD) per portfolio	B.19
	CR10 – IRB (specialized lending and equities under the simple risk weight method)	B.20
Part 9 – Counterparty credit risk	CCR4 – IRB – CCR exposures by portfolio and PD scale	B.25
	CCR6 – Credit derivatives exposures	B.27
	CCR7 – RWA flow statements of CCR exposures under the Internal Model Method (IMM)	B.28
Part 10 – Securitization	SEC2 – Securitization exposures in the trading book	B.32
	SEC3 – Securitization exposures in the banking book and associated regulatory capital requirements – bank acting as originator or as sponsor	B.33
Part 11 – Market risk	MR2 – RWA flow statements of market risk exposures under an IMA	MR2
	MR3 – IMA values for trading portfolios	MR3
	MR4 – Comparison of VaR estimates with gains/losses	MR4

Basel III Qualitative and Quantitative Pillar 3 Disclosures Policy:

To assure compliance with the requirements of the guidance issued by SAMA dated December 2022, SNB has created Basel III Pillar 3 Disclosures Policy which was approved by the Board.

The policy document governs the implementation, process and reporting of Basel III Pillar 3 Disclosures. It describes the scope, guiding principles, required standards and regulations, roles and responsibilities and internal controls for these disclosures.